INVESTMENT MEMORANDUM · PRIVATE & CONFIDENTIAL

Diversification Strategies for Oil & Gas Revenues

Why commercial real estate in Abu Dhabi and Dubai is outperforming traditional bonds in 2026 — and how this can be used when allocating personal and corporate capital of JSC NC KazMunayGas.

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KNIGHT FRANK · BLOOMBERG · PWC · CBRE · JLL

The Core Issue in 60 Seconds

Key conclusion for top management: the yield gap between UAE commercial real estate and sovereign bonds has reached a level at which the traditional capital allocation approach of "bonds as a safe haven" requires reconsideration.

Treasuries of oil-producing countries traditionally park excess liquidity in sovereign and corporate bonds — it is familiar, liquid, and easy to justify to the Board of Directors. However, in 2026 this logic has encountered a new reality: the yield on 10-year U.S. Treasury bonds has stabilized around 4.6–4.7%, while commercial real estate in Dubai and Abu Dhabi generates cash flow and capital appreciation that, in aggregate, materially exceed this level — with comparable jurisdictional reliability and zero capital gains tax.

KEY INDICATORS

17–31%
ANNUAL GROWTH IN RENTAL RATES FOR PREMIUM DUBAI OFFICES, Q1–Q2 2026

6–8%
AVERAGE GROSS RENTAL YIELD IN DUBAI, 2026

4,6–4,7%
YIELD ON 10-YEAR U.S. GOVERNMENT BONDS, AUGUST 2026

0%
TAX ON CAPITAL GAINS AND PERSONAL INCOME IN THE UAE

KEY THESIS OF THE MEMORANDUM

Under conditions of structurally high yields on dollar-denominated bonds (4.6–5.0% over the 2026–2027 horizon, according to market forecasts) and, simultaneously, a record shortage of high-quality commercial real estate supply in Dubai and Abu Dhabi, part of KMG's liquidity portfolio and the personal capital of executives could potentially be allocated more efficiently to income-generating UAE commercial real estate than to further increasing the bond allocation.

Three Arguments for Reconsideration

1

Yield + Capital Appreciation, Not Just Coupon Income

Office real estate in Dubai and Abu Dhabi combines current yields of 6–8% with double-digit capital appreciation — whereas a bond provides only coupon income and protection of principal.

2

Structural Supply Shortage — Not a Speculative Bubble

Prime office vacancy in Dubai stands at 0.1–1.4%, while Abu Dhabi maintains approximately 98% occupancy. This is not market euphoria, but a physical shortage of high-quality space amid limited new construction deliveries through 2028.

3

UAE Tax and Jurisdictional Premium

Zero tax on personal income and capital gains, a reputation as a reliable jurisdiction for capital from the EAEU and Gulf countries, and convertibility of the dirham, which is pegged to the U.S. dollar.

IMPORTANT CAVEAT

This is not a recommendation to “sell all bonds.” Real estate is less liquid, requires operational management, and carries currency, regulatory, and market risks (see Section 05).
The proposal is for measured diversification of 10–20% of the liquidity portfolio, rather than replacing the conservative core.

Why Bonds Have Ceased to Be a “Free Safe Haven”

Rates have risen — but so has the opportunity cost of not deploying capital into growing assets.

Back in 2020–2021, the logic of “excess foreign-currency liquidity → U.S. Treasuries and high-quality corporate bonds” was almost without alternatives: yields on 10-year U.S. government bonds remained around 1.5–2%, while Gulf real estate was only emerging from its post-crisis correction. By August 2026, the picture had changed dramatically.

10-YEAR U.S. GOVERNMENT BOND YIELDS, 2026 (%, according to Trading Economics / FRED / Long Forecast)

Source: Trading Economics, FRED (Federal Reserve Bank of St. Louis), Long Forecast,

At first glance, a 4.6–5.0% yield looks attractive compared with the “cheap money” environment of the previous decade. However, for the treasury of an oil and gas company, the nominal rate is not the only consideration. What matters is real return after inflation and opportunity cost — i.e., what the portfolio gives up by not being invested in higher-yielding assets with comparable risk.

Kazakhstan Case: Similar Dynamics in the Sovereign Segment

At the same time, even amid positive macroeconomic data (Kazakhstan’s GDP grew by 6,5 % in 2025, while oil production growth accelerated from 4.0% to 5.8%), Kazakh sovereign instruments do not provide the combination of current income and asset appreciation that premium UAE commercial real estate is currently demonstrating.

> *“Higher oil prices intensify concerns about inflation, which could force the Fed to keep rates elevated for longer, despite signs of a slowing labor market” — from U.S. bond market commentary, August 2026.*

source: Trading Economics, USA, 2026 year 10–11 august.

Geopolitical Conditions Work in Favor of UAE Real Estate, Not Against It

Despite regional turbulence — including the conflict surrounding Iran and risks related to the Strait of Hormuz — real estate markets in Dubai and Abu Dhabi continue to demonstrate resilience.

According to Knight Frank, resilient domestic demand continues to support the market "against the backdrop of geopolitical challenges related to the ongoing regional conflict." Historically, the UAE has benefited from its status as a "safe haven" for capital from neighboring jurisdictions, particularly during periods of instability.

Dubai and Abu Dhabi: Anatomy of the Supply Shortage

Data from Knight Frank, JLL and CBRE for the first half of 2026 point to a structural rather than cyclical gap between demand and the supply of high-quality commercial space.

Office Real Estate: The Key Yield Driver of 2026

Annual Growth in Office Rental Rates, Dubai, by Grade (Q1–Q2 2026)

source: JLL UAE Commercial Real Estate Report Q2 2026 (Arabian Business); Khaleej Times / JLL Q1 2026; CBRE Middle East UAE Real Estate Market Review Q2 2026.

Dubai — Vacancy Shortage

- Office vacancy fell to 6.1% from 7.7% a year earlier; prime vacancy was just 0.1%.
- New rental contract registrations increased 24.6% year-on-year.
- Total office stock stands at 100.6 million sq. ft., with only around 940,000 sq. ft. expected to be delivered by year-end.

Abu Dhabi — Institutional Demand

- Office occupancy remains at approximately 96–98%.
- Demand is concentrated in the ADGM free zone, driven by the growth of hedge funds and financial companies.
- Less than 300,000 sq. m. of new supply is planned across the UAE market through 2027 — meaning the acute shortage will persist.

Rental Yield vs. Capital Appreciation: The Full Picture

SEGMENT / DISTRICT	GROSS YIELD	ANNUAL CAPITAL APPRECIATION	COMMENT
Jumeirah Village Circle (Dubai)	**8,5–9,5%**	—	Yield leader among Dubai districts
Business Bay (Dubai, offices/apartments)	**5,5–7,6%**	**+13–16%**	Core business submarket
Downtown Dubai / DIFC	**4–6%**	**up to +19%**	Premium segment, institutional demand
Yas Island / Al Reem Island (Абу-Даби)	—	**+18%**	Capital appreciation of residential and mixed-use real estate
Al Saadiyat Island (Abu Dhabi)	—	**high**	the most expensive segment — $11 735 / кв. м
Industrial / logistics (Dubai, Abu Dhabi)	**high**	**Rental rate growth**	Supply shortage expected to persist in 2026–2027

Source: Knight Frank (Abu Dhabi Residential and Office Market Review, jule 2026); House & Hedges Dubai Rental Yield Guide 2026; UAE Industrial Rents review, Knight Frank, february 2026.

Capital Demand Confirmed at the Wealth Report Level

According to the Knight Frank Wealth Report 2026, Dubai is home to more than 30,000 HNWIs (high-net-worth individuals). Their number has increased by 25% over five years, while the number of dollar millionaires is expected to exceed 100,000 by 2027.

Dubai ranked 5th globally in terms of the amount of prime real estate available for $1 million, at 62.2 sq. m. — three times more than Monaco and almost twice as much as London. At the same time, the UAE has zero capital gains tax and rental yields of 6–8%.

Knight Frank Wealth Report 2026

100,000+ millionaires by 2027

Golden Visa from AED 750,000

Mixed-use development: 5–7% yield

UAE Real Estate vs. Traditional Bonds: Direct Comparison

The same amount of capital, two different risk and return profiles — over the 2026–2027 horizon.

PARAMETER	DUBAI / ABU DHABI REAL ESTATE	U.S. GOVERNMENT BONDS (10Y)	KAZAKHSTAN EUROBONDS
Current yield	**6–8% (rental income) + capital appreciation**	**4 ,6 –4 ,7%**	**EM benchmark + risk premium**
Asset value growth, 2026	**13–31% (offices), 16–18% (residential)**	**0% (nominal fixed)**	**Volatility as Fed rates move**
Income / capital gains tax	**0%**	**Depends on holder's jurisdiction**	**Depends on holder's jurisdiction**
Liquidity	**Low–medium (weeks/months)**	**High (days)**	**High (days)**
Sensitivity to Fed rates	**Moderate (rents are indexed)**	**High (price falls when rates rise)**	**high**
Currency risk for KMG (KZT hedge)	**AED pegged to USD — predictable**	**USD — base reserve currency**	**USD-denominated, country risk**
Reputational / political profile	**Neutral jurisdiction, UAE–Kazakhstan partnership**	**Neutral**	**Visibility to Kazakhstan regulator**

Note: Real estate yield estimates are gross, before operating expenses, service charges and management costs (see Section 05). Bond estimates are based on market quotes and forecasts as of August 2026.

Illustration: $10 Million Over 3 Years

Total estimated return under conservative assumptions:
Real estate — 7% rental yield + 12% annual capital appreciation; bonds — 4.65% coupon, excluding reinvestment and taxes.

Illustrative calculation by Aizhan based on Knight Frank / CBRE / JLL market rates and U.S. Treasury bond yields as of August 2026. Not a guarantee of returns — actual results depend on the property, location and market conditions.

WHY IS THE GAP SO LARGE?

A bond pays a fixed coupon and returns principal — that is essentially it.
Real estate in a supply-constrained market simultaneously:

1. Generates current cash flow at a level equal to or above the bond coupon; and
2. Provides capital appreciation, because physical supply is unable to keep pace with demand through 2027–2028, according to forecasts from Knight Frank, JLL and CBRE.

What Could Go Wrong — An Honest Assessment

The premium yield of UAE real estate is not free: it compensates investors for risks that do not exist in bonds.

MEDIUM RISK

Liquidity

Selling a commercial property can take several weeks to several months — unlike bonds, which can be sold within seconds on the secondary market.

MEDIUM RISK

Supply Saturation

Between 2026 and 2028, approximately 428,000 sq. m. of new office space is planned for delivery in Abu Dhabi, along with tens of thousands of residential units across both emirates. Rental-rate growth may slow after 2027.

ELEVATED RISK

Regional Geopolitics

The conflict surrounding Iran and risks related to the Strait of Hormuz remain sources of instability for the entire Gulf region, including the UAE.

LOW RISK

Currency Risk

The dirham has been firmly pegged to the U.S. dollar since 1997 — therefore, currency risk is broadly comparable to the risk of dollar-denominated bonds.

MEDIUM RISK

Operational Burden

A management company is required, along with accounting for service charges, legal support for the transaction and ownership structure — making real estate a non-passive instrument, unlike a bond.

MEDIUM RISK

Compliance and Reputation

The structuring of personal and corporate investments involving KMG top management must be conducted through transparent and verifiable structures to avoid conflicts of interest and regulatory concerns.

Dubai Residential Market Slowdown — A Signal That Cannot Be Ignored

According to CBRE, in Q2 2026 the volume of transactions in Dubai's residential market fell by 29% year-on-year, while average rents declined by 2.6% year-on-year.

This supports Knight Frank’s thesis that Dubai is entering a “two-speed market” phase: premium locations continue to grow, while the mass-market segment is stabilizing.**Conclusion for KMG**
The focus should be on the prime and office segments rather than mass-market residential real estate.

DISCLAIMER

This material is for informational and analytical purposes only and does not constitute individualized investment advice, legal advice or tax advice.
Before making any investment decision, a comprehensive legal, tax and compliance review should be conducted with the involvement of independent advisers in Kazakhstan and the UAE.

Practical Steps for the Investment Committee

Diversification roadmap — from analysis to pilot capital allocation.

1 **Determine the Target Portfolio Allocation**

Consider allocating 10–20% of excess foreign-currency liquidity — above the operational reserve — to alternative assets, including UAE real estate, without reducing the conservative bond core.

2 **Focus on Prime Offices and Mixed-Use Developments**

Priority should be given to DIFC, Business Bay, ADGM (Abu Dhabi) and prime islands (Yas, Al Reem, Saadiyat) — segments with confirmed structural supply shortages.

3 **Select the Ownership Structure**

Assess direct ownership through an SPV in ADGM/DIFC versus REIT instruments and real estate funds traded on Nasdaq Dubai / DFM, in order to balance liquidity and control.

4 **Conduct a Legal and Compliance Audit**

Engage independent advisers in Kazakhstan and the UAE to verify that the ownership structure for personal and corporate capital complies with KMG's internal policies and the legislation of the Republic of Kazakhstan.

5 **Launch a Pilot Allocation**

Start with one or two properties in proven locations as benchmark cases, followed by a performance assessment after 12–18 months before scaling.

Opportunity Window: 2026–2027

All three consultants — Knight Frank, JLL and CBRE — broadly agree on one point: the shortage of high-quality supply in Dubai and Abu Dhabi is expected to begin easing as new projects are delivered in 2027–2028.
The current yield premium over bonds is most pronounced right now.

Data Sources

All figures in this memorandum are based on publicly available reports from international consulting and financial organizations, current as of August 2026.

KNIGHT FRANK

- Abu Dhabi Residential and Office Market Review, July 2026.
- UAE Industrial Rents Set to Stay High in 2026, February 2026.
- The Wealth Report 2026 — global review of the prime real estate market.

BLOOMBERG / MARKET RATE DATA

- Yield dynamics of 10-year and 30-year U.S. government bonds, July–August 2026, via Trading Economics, FRED and CNBC.
- U.S. bond yield forecasts for 2026–2027, based on Long Forecast.

PWC

- Emerging Trends in Real Estate® 2026 — 47th edition of the industry outlook, prepared jointly with the Urban Land Institute.
- Emerging Trends in Real Estate®: Europe 2026 — 23rd edition.

ADDITIONAL SOURCES FOR CROSS-CHECKING

- JLL — UAE Commercial Real Estate Report, Q1–Q2 2026
- CBRE Middle East — UAE Real Estate Market Review, Q2 2026
- Global Property Guide — UAE Residential Property Market Analysis 2026
- ValuStrat — Abu Dhabi Real Estate Market Outlook 2026

This document was prepared based on publicly available sources as of 12 August 2026.
UAE real estate market indicators and bond yields are volatile and may change.
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